

BET₹A

BANKING EDUCATION

TRAINING & RESEARCH ACADEMY

FIVE-DAY BANKING

A Reform Whose Time Has Come!



Devidas Tuljapurkar

Chairman, Betra



Plot No1, Satyam Nagar, N5,
Cidco, Chh.Sambhajinagar 431001



www.be-tra.in



betracsn1@gmail.com

CONTENTS

Five-Day Banking: A Reform Whose Time Has Come !

The demand is neither new nor untested

Banking has moved beyond the counter

Why a five-day week can improve productivity?

What about customers who need Saturday branches?

Banking must remain a 24×7 responsibility !

Five-day banking should mean a five-day ordinary branch and employee week, not a five-day financial system !

A customer-protection compact

The case for change

Five-Day Banking: A Reform Whose Time Has Come !

Closing ordinary branches on Saturdays does not mean closing banking. With digital platforms, ATMs, Business Correspondents and properly rostered support teams, India can provide seven-day banking while giving employees a rational five-day workweek. The demand for a five-day week for bank employees is often presented as a conflict between employee welfare and customer convenience. That framing is outdated. The real question is not whether customers should have access to banking on Saturdays. They should. The question is whether every ordinary branch must remain open on selected Saturdays—and whether requiring employees to attend six days a week remains the best way to provide that access. Modern banking is no longer confined to the branch counter. Payments, transfers, cash withdrawals, account information and routine service requests increasingly take place through channels that operate beyond branch hours. A carefully designed five-day week can therefore protect customer access while improving productivity, employee well-being and service quality.

The demand is neither new nor untested

Since September 2015, all banks in India have observed the second and fourth Saturdays of every month as public holidays. The Government introduced this arrangement under Section 25 of the Negotiable Instruments Act, 1881, and the Reserve Bank of India adjusted its payment-system, financial-market and support arrangements accordingly. The banking system has functioned successfully under this partial Saturday-closure model for more than a decade. The Indian Banks' Association subsequently submitted a proposal to the Government on 12 July 2023 seeking the declaration of all Saturdays as banking holidays. The understanding reached between IBA and bank unions was recorded in the 12th Bipartite Settlement signed in March 2024. Revised working hours, however, remain subject to Government approval and the necessary regulatory clearances. A "Rajya Sabha reply dated 10 February 2026" on five days banking government has confirmed that the proposal had been submitted but did not announce an implementation date. Thus, the reform remains pending. There is also a direct domestic precedent. LIC has worked from Monday to Friday since May 2021 after the Government declared every Saturday a public holiday for the corporation.

Banking has moved beyond the counter

The transformation of India's payment system provides the strongest economic justification for revisiting the six-day attendance pattern. According to "official data presented by the Ministry of Finance". India recorded 22,167.90 crore retail digital-payment transactions in FY2024–25, valued at ₹849.12 lakh crore. Transaction volume grew by 35 per cent in one year, and UPI accounted for 81 per cent of retail digital-payment volume. The longer-term change is even more dramatic. Digital-payment volume increased from 2,071 crore transactions in FY2017–18 to 18,737 crore in FY2023–24. UPI transactions rose from 92 crore to 13,116 crore over the same period. These figures do not mean that 81 per cent of branch work has disappeared. Loan appraisal, KYC compliance, grievance resolution, pension problems, succession claims and financial advice still require human intervention. But they do establish that routine payments no longer depend on a branch opening on Saturday. UPI and IMPS operate continuously. NEFT has been available around the clock since December 2019, and RTGS since December 2020. Internet banking, mobile applications, ATMs and cash recyclers extend access beyond conventional office hours. India also has an enormous alternative-banking network. Official figures published in 2026 reported more than 1.81 lakh bank branches and over 17.36 lakh Business Correspondents. More than 1.65 lakh post offices support India Post Payments Bank. Nearly all mapped villages are covered by a banking outlet within five kilometres. The branch remains important—but it is now one part of a much larger delivery system.

Why a five-day week can improve productivity?

Productivity should be measured by useful work completed, accuracy, turnaround time and customer satisfaction—not merely by the number of days on which a branch door is open. A five-day week can provide more stable weekday staffing. It can reduce fragmented rosters, compensatory leave and repetitive opening, closing, security and premises expenses. Training, supervision and maintenance can be planned more effectively. Most importantly, staff can devote greater attention to work that technology cannot perform well: understanding a borrower's circumstances, helping an elderly customer, resolving a disputed transaction, supporting an MSME or handling a deceased depositor's claim with sensitivity. Better-rested employees are also less likely to make errors in an industry where mistakes can have serious financial and regulatory consequences.

International Labour Organization guidance notes that excessive working hours and fatigue can reduce hourly productivity. The benefit is not automatic. If banks simply compress inefficient processes into five excessively long days, little will improve. The reform must be accompanied by workflow redesign, realistic staffing, recorded overtime and measurable service standards.

What about customers who need Saturday branches?

This is the most legitimate objection, particularly for rural customers, senior citizens, pensioners, persons with disabilities, small traders and people without reliable digital access. The answer cannot be “use an app.” Banks should map actual Saturday demand district by district. Where the evidence justifies weekend service, selected branches or service points can operate through rotating rosters, with compensatory rest for employees. Business Correspondents, India Post Payments Bank, mobile vans and accessible contact centres should provide assisted alternatives. Cash-dependent businesses may require reliable cash recyclers, BC liquidity, secure cash-pickup facilities or selected commercial-centre branches. Pension and government-payment peaks can be handled through appointments, additional counters and temporary deployment. Local needs require local solutions. They do not justify permanent six-day attendance across the entire national branch network.

Banking must remain a 24×7 responsibility !

Fraud, cyberattacks and payment failures do not observe holidays. But that is already true on Sundays, public holidays and existing Saturday holidays. Critical functions—including payment operations, cyber-security, fraud monitoring, data centres, treasury support and emergency account blocking—must therefore continue through shifts, automation and on-call arrangements.

Five-day banking should mean a five-day ordinary branch and employee week, not a five-day financial system !

International practice demonstrates this distinction. The European Central Bank publishes Monday-to-Friday office hours. The Eurosystem’s T2 large-value settlement service follows a weekday calendar, while its TIPS instant-payment platform operates 24 hours a day, 365 days a year. The US Federal

Reserve's Fedwire Funds Service and the Bank of England's CHAPS also operate on weekday business calendars. Not every financial institution worldwide closes on weekends. Some retail branches open where demand supports it. The relevant lesson is that ordinary office attendance, branch access and continuous payment services can follow different schedules.

A customer-protection compact

Approval of the five-day week should be accompanied by a transparent service compact: - Continuous operation of digital payments and urgent fraud-reporting channels. - Published standards for digital uptime and ATM cash availability. - Reliable Saturday alternatives through BCs, IPPB and selected service points. - Priority assistance for elderly, disabled and digitally excluded customers. - Clearly announced weekday timings, with staggered or extended hours where justified. - Six-month and 12-month reviews of complaints, turnaround times, cash availability, failed transactions, customer access and employee overtime. If a particular district experiences a genuine decline in service, the response should be targeted corrective action—not automatic restoration of blanket six-day attendance everywhere.

The case for change

The five-day-week demand is rational because routine banking has migrated to channels that operate beyond branch hours. It is justifiable because comparable public and financial institutions already work on a five-day basis. It is reasonable because customer access and critical operations can be protected through technology, assisted channels and properly compensated rosters. The reform should not be judged by whether a branch door opens on Saturday. It should be judged by whether customers can make payments, obtain cash, report fraud, receive assistance and resolve problems reliably. Declare all Saturdays bank holidays. Organise ordinary branches from Monday to Friday. Keep essential banking available every day. Protect customers who need personal assistance. Measure the results and correct local gaps. That would not be a retreat from customer service. It would be a more modern and accountable way of delivering it.

Devidas Tuljapurkar
Chairman, Betra